

KOTAKBANK

14.0%
ROE

7.1%
ROCE

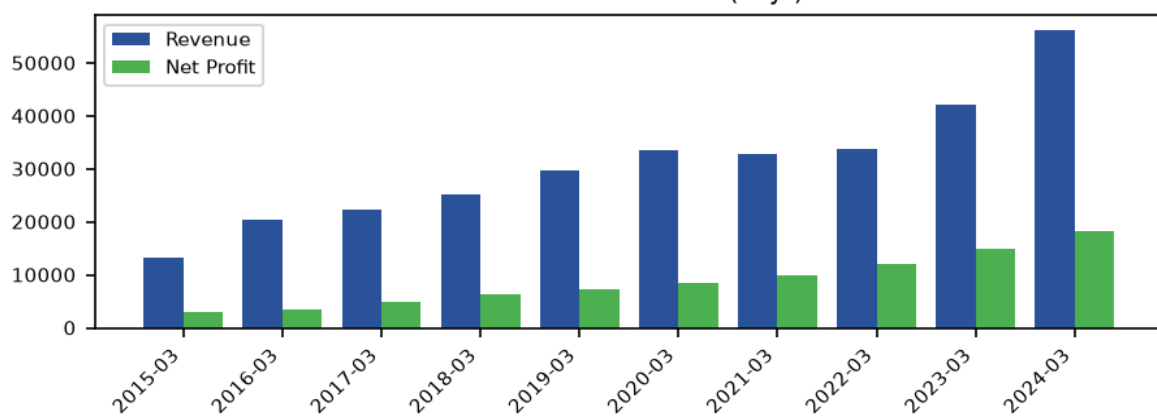
4.0x
D/E

13.5%
Revenue CAGR (5yr)

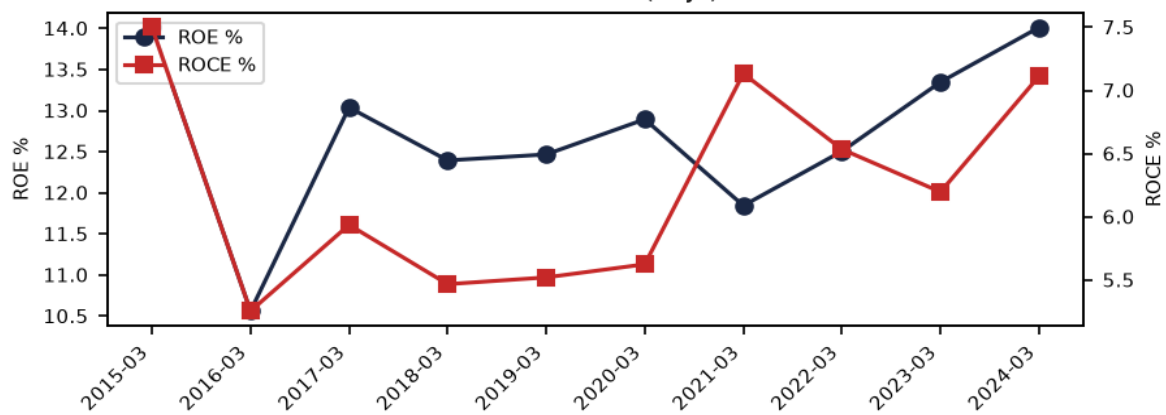
83.7%
OPM

32.4%
Net Profit Margin

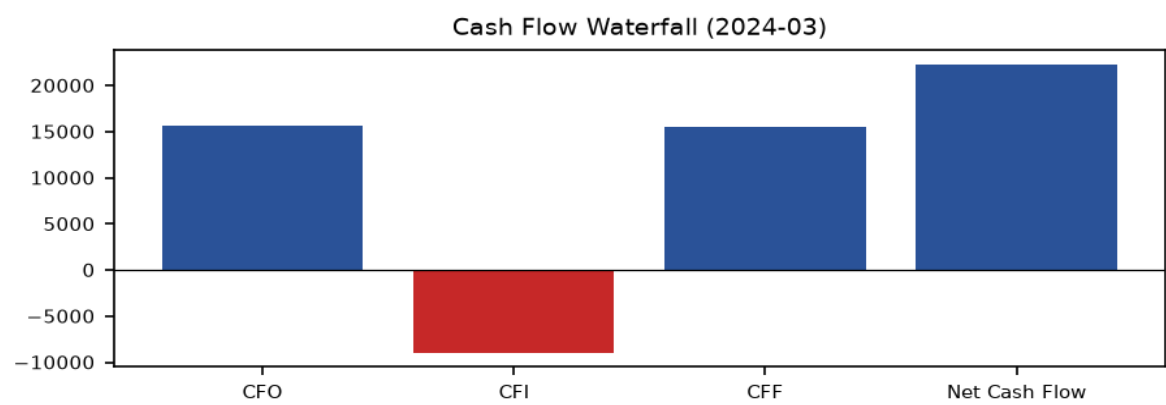
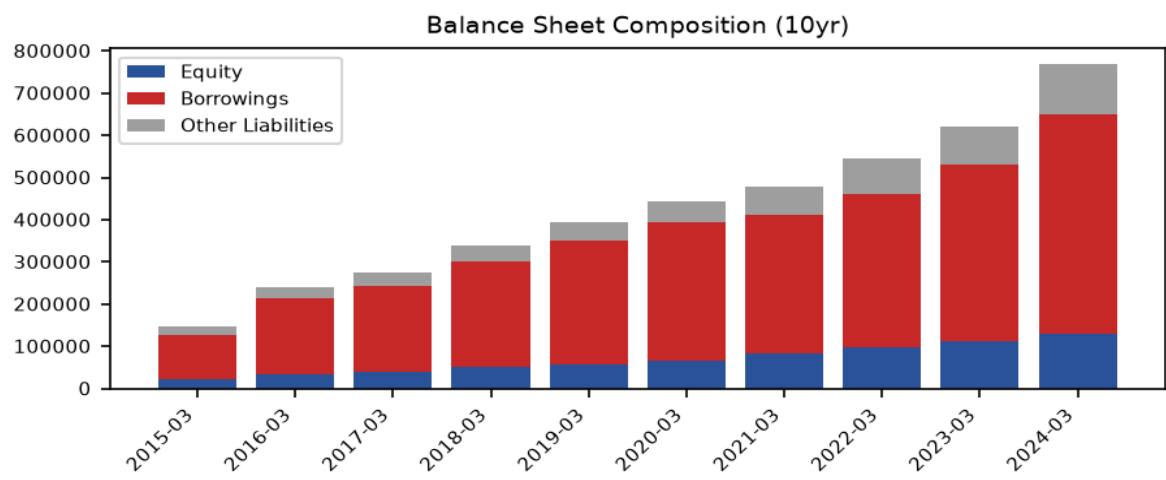
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



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Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Mixed